

Marvell (MRVL US)

Preview: Robust AI Outlook, Further Upside to Guidance

Maintained Buy
Target price \$280

Maintain Buy and TP of \$280: For F2Q27E, we expect its revenue to be up 12% QoQ, non-GAAP GM to be ~59% (vs. Bloomberg consensus of 58.8%). For F3Q27E and FY27E, we expect its revenue to grow by 13% QoQ (vs. consensus of 11% QoQ), GM to be 58.9% (vs. consensus of 58.3%) and a likely raise to full-year guidance from current guidance of \$11.5b. We continue to see upside to both FY28E full-year revenue guidance and the FY29 custom ASIC revenue target. Accordingly, we revise our FY27E/28E EPS estimates to \$4.2/\$7.6, with TP of \$280, based on 20x FY29E EPS of \$14.

We expect \$15bn+ ASIC revenue (guidance \$10bn+) in FY29E: In the last earnings, the mgmt. guided more than \$10bn of custom silicon revenue by FY29E, supported by a deepening opportunity set across major U.S. hyperscale customers. We see further upside from Google's expanding AI infrastructure investments through adjacent silicon content, with CXL and DPU representing the most attractive opportunities. In our view, CXL and DPU attach silicon could deliver significant content per TPU, supporting a multi-billion-dollar addressable market as Google scales its AI deployments. Elsewhere, we expect Marvell to participate in at least one Trainium 4 platform configuration. We also estimate Maia 300 shipments of approximately 300k units in 2027, the first year of meaningful production ramp, creating another important contributor to future growth.

Optics to remain a key growth pillar: In the last earnings call, the mgmt. increased its FY27E interconnect growth outlook to over 70% YoY from the prior ~50%, reflecting stronger momentum across 800G and 1.6T optics, DCI, Retimer, AECs, and scale-up networking. We expect the ongoing migration toward 800G and 1.6T pluggable optics to support sustained growth in DSP demand, providing a durable tailwind for Marvell's DSP franchise. Following the Celestial AI acquisition, the mgmt. has materially increased its outlook for scale-up optics, while noting that NPO programs are advancing from customer qualification into initial production as reasoning and agentic AI workloads drive higher networking bandwidth requirements. Meanwhile, Marvell's leadership in TIAs and optical drivers positions the company to capture significant content in early scale-up NPO deployments, extending optical growth opportunities into CY28 and beyond.

Risks: 1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Profit forecast

	FY25	FY26	FY27E	FY28E	FY29E
Revenue (m)	5,767	8,195	11,658	19,662	35,834
Revenue YoY (%)	4.7	42.1	42.3	68.7	82.2
Net profit (m)	1,377	2,466	3,753	6,759	12,917
Net profit YoY (%)	5.1	79.0	52.2	80.1	91.1
EPS (\$)	1.6	2.9	4.2	7.6	14.0
P/E	131.8	71.6	49.1	27.3	14.7
ROE (%)	10.3	17.2	19.2	23.1	31.0

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Earnings revision

By factoring higher revenue assumption for this year, we revise FY27E EPS estimates by +3%.

Figure 1: Earnings revision

USD m	FY26	FY27E		FY28E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	8,195	11,467	11,658	19,660	19,662	2%	0%
Gross profit	4,872	6,752	6,865	11,206	11,207	2%	0%
Operating profit	2,889	4,035	4,141	7,255	7,255	3%	0%
Pre-tax Income	2,363	3,856	3,962	7,135	7,135	3%	0%
Net profit	2,466	3,653	3,753	6,758	6,759	3%	0%
EPS (\$)	2.88	4.09	4.20	7.57	7.57	3%	0%
Key ratios (%)							
Gross margin	59.5%	58.9%	58.9%	57.0%	57.0%		
Operating margin	35.3%	35.2%	35.5%	36.9%	36.9%		
Pre-tax margin	28.8%	33.6%	34.0%	36.3%	36.3%		
Net profit margin	30.1%	31.9%	32.2%	34.4%	34.4%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: MRVL's P&L forecast

(USD m)	FY26	F1Q27	F2Q27E	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	8,195	2,418	2,704	3,057	3,479	11,658	3,526	4,226	5,158	6,753	19,662
COGS	3,323	994	1,112	1,257	1,430	4,793	1,516	1,817	2,218	2,904	8,455
Gross profit	4,872	1,424	1,593	1,800	2,049	6,865	2,010	2,409	2,940	3,849	11,207
Opex	1,983	716	785	846	930	2,724	1,029	1,146	0	911	3,952
Operating profit	2,889	847	946	1,084	1,264	4,141	1,163	1,479	1,910	2,703	7,255
Non-operating profit	-526	-89	-30	-30	-30	-179	-30	-30	-30	-30	-120
Pre-tax profit	2,363	758	916	1,054	1,234	3,962	1,133	1,449	1,880	2,673	7,135
Income tax	103	-40	-48	-56	-65	-209	-60	-76	-99	-141	-377
Non-GAAP Net Income	2,466	718	868	998	1,169	3,753	1,074	1,372	1,781	2,532	6,759
Non-GAAP EPS (\$)	2.88	0.80	0.97	1.12	1.31	4.20	1.20	1.54	1.99	2.83	7.57
Diluted shares	856	893	893	893	893	893	893	893	893	893	893
Margin analysis											
Gross margin	59.5%	58.9%	58.9%	58.9%	58.9%	58.9%	57.0%	57.0%	57.0%	57.0%	57.0%
Operating margin	35.3%	35.0%	35.0%	35.5%	36.3%	35.5%	33.0%	35.0%	37.0%	40.0%	36.9%
Pre-tax margin	28.8%	31.4%	33.9%	34.5%	35.5%	34.0%	32.1%	34.3%	36.5%	39.6%	36.3%
Effective tax rate	-4.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%
Growth (% YoY)											
Sales	42%	28%	35%	47%	57%	42%	46%	56%	69%	94%	69%
Operating profit	74%	31%	36%	44%	60%	43%	37%	56%	76%	114%	75%
Net income	79%	33%	48%	52%	71%	52%	50%	58%	78%	117%	80%
EPS	84%	30%	44%	47%	64%	46%	50%	58%	78%	117%	80%
Product mix (%)											
Data center	74%	76%	78%	79%	81%	79%	81%	84%	87%	90%	86%
Carrier	7%	7%	7%	6%	6%	6%	6%	5%	4%	3%	4%
Enterprise networking	10%	10%	9%	8%	7%	8%	7%	6%	5%	4%	5%
Auto industrial	5%	5%	5%	5%	4%	5%	4%	4%	3%	2%	3%
Consumer	3%	2%	2%	2%	2%	2%	2%	1%	1%	1%	1%

Sources: Company data, GF Securities (Hong Kong) Brokerage

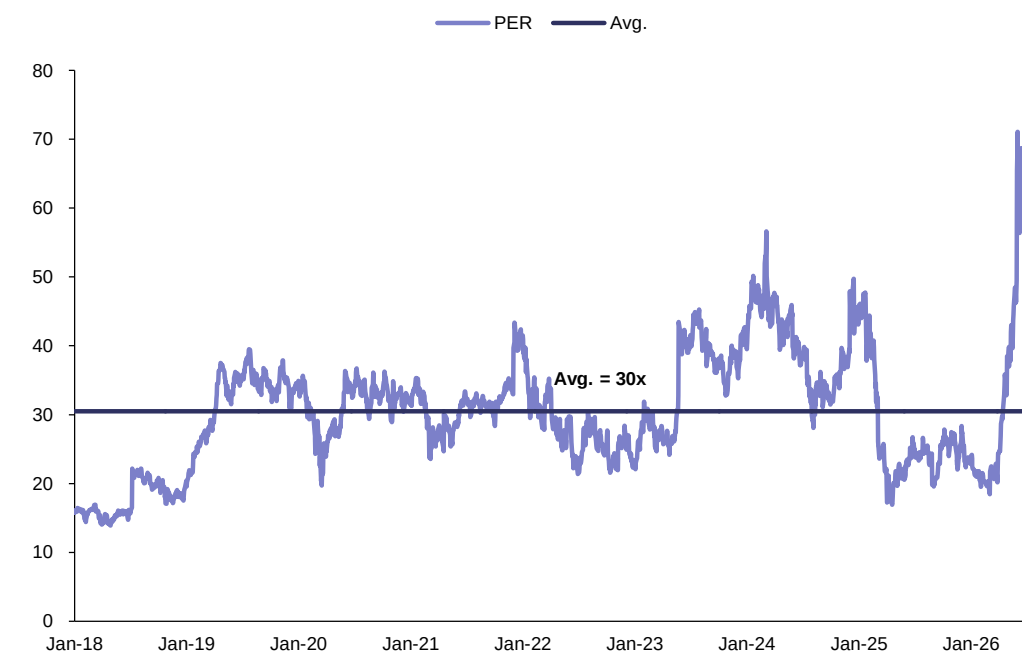
Valuation and Recommendation

Maintain Buy with TP of \$280

We maintain Marvell (MRVL US) at Buy rating with TP of \$280, based on 20x our FY29E (CY2028) EPS estimate. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to technology firms with robust growth.

Marvell's P/E traded at an average of 20-40x since 2018 since the launch of ChatGPT. On relative basis, the peer group trades at an average of 20-40x forward P/E. Our target price is based on 20x FY29E P/E, which is inline of its mid-term valuation within this AI cycle.

Figure 3: MRVL's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Balance Sheet						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Current assets	3,120	6,461	9,941	19,432	30,453	
Cash and cash equivalents	948	2,639	5,393	10,701	17,809	
Inventory	1,030	1,388	1,642	3,250	4,880	
Accounts Receivable	1,028	2,187	2,693	5,228	7,515	
Other current assets	114	247	213	253	248	
Non-current assets	17,084	15,825	17,643	18,971	21,286	
Long-term equity investment	-	-	-	-	-	
Fixed assets	791	935	1,568	2,834	5,141	
Other long-term assets	16,294	14,890	16,075	16,137	16,145	
Total assets	20,205	22,285	27,583	38,402	51,739	
Current liabilities	2,027	3,221	2,302	3,338	4,265	
Accounts Payable	622	1,074	1,021	2,021	2,906	
Short-term borrowings	130	500	-	-	-	
Other current liabilities	1,275	1,647	1,280	1,316	1,359	
Non-current liabilities	4,751	4,756	5,704	5,780	5,803	
Long-term Debt	3,934	3,971	4,961	4,961	4,961	
Other non-current liabilities	816	786	743	818	842	
Total liabilities	6,778	7,977	8,006	9,117	10,068	
Total Equity	13,427	14,308	19,578	29,285	41,671	
Share Capital	2	2	2	2	2	
Additional Paid-in Capital	14,535	12,951	17,186	23,379	26,440	
Retained earnings	-1,109	1,356	2,390	5,904	15,229	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	20,205	22,285	27,583	38,402	51,739	

Income Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Revenue	5,767	8,195	11,658	19,662	35,834	
Cost of sales	2,247	3,323	4,793	8,455	16,125	
Gross profit	3,521	4,872	6,865	11,207	19,708	
Operating Expense	1,856	1,983	2,724	3,952	5,951	
Operating profit	1,665	2,889	4,141	7,255	13,757	
Interest Income	15	-11	-	-	-	
Interest Expense	189	203	202	198	198	
Net other Non-op. Income/(Loss)	-9	-313	23	78	78	
Pre-tax profit	1,481	2,363	3,962	7,135	13,637	
Income tax	104	-103	209	377	720	
Profit for the year	1,377	2,466	3,753	6,759	12,917	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	1,377	2,466	3,753	6,759	12,917	
EPS (\$)	1.6	2.9	4.2	7.6	14.0	

Cash Flow Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Operating cash flow	1,681	1,751	3,932	8,740	14,118	
Net profit (GAAP)	-885	2,670	1,251	3,733	9,546	
Depreciation & amortization	717	491	402	474	613	
Change in working capital	-852	-1,108	539	3,143	3,033	
Others	2,701	-302	1,741	1,391	926	
Investing cash flow	-301	2,098	-2,016	-1,266	-2,308	
Capex	-285	-327	-751	-1,266	-2,308	
Change in investment	0	2,479	-1,271	-	-	
Others	-16	-54	5	-	-	
Free cash flow	1,397	1,424	3,182	7,474	11,811	
Financing cash flow	-1,383	-2,158	838	-2,166	-4,703	
Change in Capital	-676	-2,040	-1,100	-1,900	-4,500	
Net Change in Debt	-109	969	491	-	-	
Others	-598	-1,087	1,447	-266	-203	
Exchange influence	-	-	-	-	-	
Net increase in cash	-3	1,691	2,754	5,308	7,108	

Key Financial Ratios					
	FY25	FY26	FY27E	FY28E	FY29E
Growth					
Revenue growth	4.7	42.1	42.3	68.7	82.2
Operating profit growth	4.1	73.5	43.3	75.2	89.6
Net profit growth	5.1	79.0	52.2	80.1	91.1
Profitability					
Gross profit margin	61.0	59.5	58.9	57.0	55.0
Operating Profit Margin	28.9	35.3	35.5	36.9	38.4
Net profit margin	23.9	30.1	32.2	34.4	36.0
Key Ratio					
ROA	6.6	11.6	15.1	20.5	28.7
ROE	10.3	17.2	19.2	23.1	31.0
Stability					
Gross debt/equity	50.5	55.7	40.9	31.1	24.2
Interest Coverage	8.8	12.7	20.6	37.0	69.7
Current Ratio	1.5	2.0	4.3	5.8	7.1
Quick Ratio	1.0	1.6	3.6	4.8	6.0
Net debt/equity	23.2	12.8	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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